

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

Samsung Electronics America, Inc.

v.

COSCO Shipping Lines Co. Ltd.

v.

**Samsung Electronics Co., Ltd., Samsung Electronics Logitech Co., Ltd., and Samsung SDS
Global SCL Asia Pacific PTE LTD**

**COUNTER-COMPLAINANT'S OPPOSITION TO
COUNTER-RESPONDENT'S MOTION TO
DISMISS THE COUNTERCLAIM**

TABLE OF CONTENTS

	Page
INTRODUCTION	1
BACKGROUND	2
ARGUMENT	5
A. The Commission Has Repeatedly Rejected Heightened Pleading Standards.....	5
B. The Counterclaim Meets FMC Pleading Standards.....	8
1. SEA is a “person.”	9
2. SEA “knowingly and willfully” engaged in proscribed conduct	9
3. SEA conduct constitutes an “unjust device or means.”	10
4. SEA “obtained or attempted to obtain ocean transportation rates for property at less than the rates or charges that would be otherwise applicable.”	12
C. SEA’s Arguments, Based on the Wrong Pleading Standard, Lack Merit.....	13
1. SEA admitted that it obtained ocean transportation.....	13
2. SEA’s claims about “nearly identical” proceedings are misleading	14
3. Contrary to SEA’s false assertion, COSCO did plead “knowing and willful” acts	16
4. SEA is wrong in stating that SEA was not bound by the Service Contracts.....	17
5. SEA’s arguments about fraud are based on the wrong pleading standard	18
6. COSCO adequately alleges an unfair device or means	18
7. SEA’s argument about its disagreement over terms and conditions of the Service Contracts is, at most, a factual dispute.....	20
8. SEA attempted to obtain and obtained lower rates and charges	22
D. COSCO is Entitled, if Necessary, to Amend its Counterclaim.	28
CONCLUSION.....	29

TABLE OF AUTHORITIES

	Page(s)
Federal Cases	
<i>Bank Line Limited v. Jet Set Marine, Inc.</i> , Dkt. No. 91-58, 26 S.R.R. 380 (FMC 1992).....	25
<i>Bell Atl. Corp. v. Twombly</i> , 550 U.S. 544 (2007).....	6
<i>Capitol Transportation, Inc. v. United States</i> , 612 F.2d 1312 (1st Cir. 1979).....	25
<i>CCMA LLC v. Maersk A/S</i> , Dkt. No. 22-01, 2022 WL 458571 (FMC Feb. 7, 2022).....	28
<i>Cornell v. Princess Cruise Lines, Ltd.</i> , 33 S.R.R. 614 (FMC 2014).....	17
<i>D.F. Young, Inc. v. Wallenius Wilhelmsen Logistics</i> , Dkt. No. 23-14, 2024 WL 40246 (FMC Jan. 23, 2024).....	28
<i>EDAF Antillas, Inc. v. Crowley Caribbean Logistics, LLC</i> , Dkt. No. 14-04, 2014 WL 6274657 (FMC Apr. 15, 2015).....	16
<i>Falcone Global Solutions, LLC v. Maurice Ward Networks, LTD.</i> , Dkt. No. 18-04, 2018 WL 3655808 (FMC July 27, 2018)	21
<i>Hakimoglu v. Trump Taj Mahal Assoc.</i> , 876 F.Supp.625 (D.N.J. 1994)	21
<i>Hohenberg Bros. Co. v. FMC</i> , 316 F.2d 381 (D.C. Cir. 1963).....	23, 24, 25
<i>Kanu v. Ejike Dickson Eze, et. al</i> , Dkt. No. 25-05 (FMC May 28, 2025).....	29
<i>Logfret, Inc. v. Kirsha</i> , Dkt. 18-10, 2019 WL 4689188 (Initial Decision Granting Motion to Dismiss, Sept. 17, 2019)	16
<i>M.E. Dey & Co., Inc. v. Hapag-Lloyd AG</i> , No. 22-35, 2024 WL 3444027 (Third-Party Respondent’s Opposition, July 11, 2024)	15

<i>Maier Terminals. LLC. v. PANYNJ,</i> Dkt. No. 12-02, 2015 WL 435475 (FMC Jan. 30, 2015).....	16
<i>Maier Terminals, LLC v. the Port Authority of New York and New Jersey,</i> Dkt. No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015).....	6, 21, 28
<i>MAVL Capital Inc. v. Marine Transport Logistics, Inc.,</i> Dkt. No.16-12, 2017 WL 343693 (FMC Jan. 17, 2017).....	16
<i>Milos Prod. Tanker Corp. v. Valero Mktg. & Supply Co.,</i> 117 F.4th 1153 (9th Cir. 2024), <i>cert. denied</i> , No. 24-899, 2025 WL 1020382 (Apr. 7, 2025).....	18
<i>Miscellaneous Amendments to the Rules of Practice and Procedure,</i> 26 S.R.R. 1053 (FMC 1993).....	6
<i>Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.,</i> Dkt. No. 09-01, 31 S.R.R. 1369, <i>aff'd in pertinent part</i> , 32 S.R.R. 126 (FMC 2011)	7, 8
<i>Mobil Oil Corp. v. Barber Blue Sea Line,</i> Dkt. No. 86-17, 1998 WL340638 (FMC 1998)	14, 24
<i>MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd.,</i> Dkt. No. 21-05, 2022 WL 458569 (FMC Feb. 4, 2022).....	28
<i>New Hampshire v. Maine,</i> 532 U.S. 742 (2001).....	27
<i>OC Int'l Freight, Inc.,</i> Dkt. No. 12-01, 2014 WL 5316336 (FMC 2014).....	9
<i>OC Int'l Freight, Inc. v. OMJ Int'l Freight, Inc.,</i> 32 S.R.R. 1992 (FMC 2013).....	24
<i>Rana v. Franklin,</i> Dkt. No. 19-03, 2020 WL 2538465 (Initial Decision, May 12, 2020), <i>aff'd</i> , 2022 WL 1744905 (FMC May 23, 2022).....	10, 11
<i>Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.,</i> 29 S.R.R. 119 (FMC 2001).....	8, 9
<i>Samsung Electronics America, Inc. v. HMM Co. Ltd.,</i> Dkt. No. 24-23 (FMC Mar. 24, 2025).....	6
<i>Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited,</i> Dkt. No. 24-17	15

<i>Samsung Electronics America, Inc. v. SM Line Corp.</i> , Dkt. No. 23-01 (Initial Decision, May 28, 2025) (Slip Op.).....	1, 4
<i>Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services, Ltd.</i> , Dkt. No. 22-30, 2025 WL 1255544 (Initial Decision, Apr. 22, 2025)	1, 4
<i>Shipco Transport, Inc. v. Saturn Air Cargo</i> , 27 S.R.R. 437 (FMC 2024).....	12
<i>Simple Forwarding, Inc. v. China United Lines Ltd. and Norton Lilly Int’l</i> , Dkt. No. 2010(F) (FMC Oct. 4, 2024).....	28
<i>Stallion Cargo, Inc. - Possible Violations of Sections 10(a)(1) & 10(b)(1) of the Shipping Act of 1984</i> , Dkt. No. 99-18, 2001 WL 35725562 (FMC 2001).....	24
<i>Tropical Shipping & Construction Co., Ltd. v. Valley Wide Produce, Inc.</i> , Dkt. No. 93-05, 1993 WL 285897 (FMC 1993).....	11
<i>TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.</i> , Dkt. No. 24-10 (FMC Oct. 4, 2024)	28
<i>U.S. Lines and Gondrand Bros.</i> , 7 F.M.C. 464 (FMC 1962).....	9
<i>Unpaid Freight Charges</i> , 26 S.R.R. 735 (FMC 1993).....	10, 11, 18
<i>Waterman Steamship Corp. v. General Foundries, Inc.</i> , Dkt. No. 93-15, 1994 WL 279898 (FMC 1994).....	10, 12
<i>Webtrans Logistics, Inc. v. Hapag-Lloyd (America) LLC</i> , Dkt. No. 2013(F), 2024 WL 4491612 (FMC Oct. 8, 2024).....	16
Federal Statutes	
46 U.S.C. § 40102(23).....	13, 26
46 U.S.C. § 41102(a)	<i>passim</i>
Rules	
Fed. R. Civ. P. 9(b)	6, 7, 8, 13
Regulations	
46 C.F.R. § 502.12	8

46 C.F.R. § 502.277(a)(5)	15, 16
46 C.F.R. § 502.62	21
46 C.F.R. § 530.3(r)	26

Counter-Complainant COSCO Shipping Lines Co., Ltd. (“Counter-Complainant” or “COSCO”), through its undersigned counsel, hereby responds to the June 6, 2025 Motion of “Complainant”¹ Samsung Electronics America, Inc. (“Counter-Respondent” or “SEA”) to Dismiss COSCO’s Counterclaim (“Motion”).

INTRODUCTION

As the Presiding Officer is aware, SEA has brought remarkably similar complaints against multiple ocean common carriers—five at last count. Its main theory in each of these cases is that, when the ocean carrier bill of lading calls for “store door” delivery, the ocean common carrier is *per se* responsible for any delay charges that may accrue, even if the delay was caused by actions of the shipper/consignee or their agents.

SEA’s theory has been roundly rejected by the Commission’s Administrative Law Judges as wholly inconsistent with both the Shipping Act and the Commission’s Interpretive Rule. *See Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01 (Initial Decision, May 28, 2025) (Slip Op.); *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services, Ltd.*, Dkt. No. 22-30, 2025 WL 1255544 (Initial Decision, April 22, 2025).

In Docket No. 22-30, Chief ALJ Wirth found that the term “store door” on a bill of lading does not make the ocean carrier (or the shipper/consignee) responsible for delay charges. Instead, the governing principle in assigning responsibility for detention and demurrage is fault in causing the delay. Simply put, Chief ALJ Wirth held that a violation of the Shipping Act could be found ***only*** for individual shipments and individual daily charges assessed for those shipments, as

¹ For some unexplained reason, SEA insists on calling the parties to the litigation by their position in the original Complaint, not by their positions with respect to COSCO’s Counterclaim, which is the only complaint at issue in the Motion. For correctness and clarity, COSCO refers to the parties either by their names or by their proper designation in the Counterclaim.

to which SEA proved by responsible evidence that the ocean carrier caused the delay. Anything less would not meet SEA's burden of proof.

In Docket No. 23-01, ALJ Hervey echoed that conclusion:

SEA's argument that an ocean common carrier is responsible for detention and demurrage on store door moves is also undermined by the fact that it admits that it is appropriate to assess demurrage and detention charges against a consignee in store door moves when it is responsible for the delay, such as when inland transportation is impossible due to the inability of the warehouse to receive cargo or diversion to a new customer due to the fault of SEA.

Slip Op. at 50-51. SEA nevertheless plows on, arguably outside the bounds of good faith.

It is also useful to keep in mind that SEA did not act alone. In addition to the Counterclaim, COSCO has filed a Third-Party Complaint against several Samsung entities that own and control or are otherwise related to SEA. Both the Counterclaim and the Third-Party Complaint allege that all four companies acted together to violate the Shipping Act by carrying out a collective scheme to obtain ocean transportation services at less than the otherwise applicable rates and charges. *See* Counterclaim (hereinafter "CC") at ¶¶ 23, 73; Third-Party Compl. at ¶¶ 6, 45, 49. The four Samsung entities are thus joint tortfeasors, and actions and knowledge of one may be attributed to the others. The only reason that they were not joined in a single complaint alleging joint activity is that SEA had already filed a Complaint, so COSCO's case against SEA had to be brought as a mandatory counterclaim. Thus, as detailed below, SEA's assertions that there are no allegations specific to SEA are not only wrong, but meaningless.

BACKGROUND

In 2021 and 2022, COSCO negotiated Service Contracts with SEA and several related Samsung entities, including Samsung Electronics Co., Ltd., Samsung Electronics Logitech Company Limited, and Samsung SDS Global SCL Asia Pacific PTE LTD (collectively the

“Samsung entities”). *See* CC ¶¶ 1-5, 10-18. SEA is now subject to a COSCO counterclaim, and the other related Samsung entities are subject to a Third-Party Complaint filed by COSCO.²

The terms of the Service Contracts, and related tariff and bills of lading, made abundantly clear that charges for delay involving use of COSCO’s containers (demurrage for failure to timely pick up a container and detention for failure to make timely return) would be the responsibility of SEA, unless the delay was due to fault by COSCO. They also made clear that, if SEA chose to use a Customer-Nominated Trucker (“CNT”), as it did, the contract would as a matter of law be between SEA and the CNT, so that the CNT would be acting as an agent of SEA and any fault by the CNT while picking up SEA cargo or returning COSCO containers used on behalf of SEA would be attributable to, and resulting charges payable by, SEA. *See id.* ¶¶ 22-36.

The Samsung entities (including SEA) entered into the Service Contracts without raising any objection to the division of liability for delay charges or even mentioning any reservations about such provisions, even though they must have known about them. *See id.* ¶¶ 36-37. Instead, the Samsung entities (including SEA) concealed their position on the provisions they now attempt to reinterpret, deceptively inducing COSCO to enter into the Service Contracts at ocean freight rates lower than COSCO would have offered had the Samsung entities acted in good faith and honesty. *See id.* ¶¶ 38, 72. As addressed immediately below, the Samsung entities also tried to get service at less than the ancillary charges set out in the Service Contracts, applicable tariff, and bills of lading.

The Samsung entities continued the charade during the course of the Service Contracts, preventing COSCO from taking steps to undo or mitigate the harm being done to it by the

² Third-Party Respondents say that the exact names of these entities are Samsung Electronics Co., Ltd. (SEC), Samsung SDS Asia Pacific Pte Ltd. (SDS), and Samsung Electronics Logitech Co., Ltd. (Logitech). *See* Decl. of James Hohenstein (Doc. 45) at ¶ 1.

Samsung entities. *See id.* at ¶¶ 40-41. That deception regarding Samsung’s rejection of the clear language of the Service Contracts finally ended in September 2022, when SEA initiated a second, separate attempt to get ocean transportation at less than the applicable rates and charges – in this case, attempting to get service at less than the applicable ancillary charges for detention and demurrage.³

SEA sent COSCO a letter (“Demand Letter”) demanding that COSCO not only refund every penny that SEA had paid to COSCO in detention but also compensate SEA for demurrage and other third party (mostly railroad) charges outside COSCO’s control, as well as to cease charging detention and demurrage to SEA. *See id.* ¶ 42. SEA also refused to pay over \$4 million in detention charges that had been properly assessed by COSCO to SEA. *See id.* ¶ 75.

Thus, beginning September 2022, the Samsung entities initiated a new, unjust and unfair attempt to obtain unreasonable rates or charges below the rates or charges applicable under the Service Contracts. SEA did so by engaging in what was effectively a gaslighting, coercive campaign against COSCO. SEA knew, or should have known, that COSCO’s only responsibility under the plain terms of the Service Contracts was to pay CNTs the freight charges that were included in the rates negotiated with Samsung for inland delivery of containerized shipments transported under the Service Contracts. *See CC* ¶¶ 56-60. SEA also knew, or should have known, that the plain terms of the Service Contracts provided for the assessment of demurrage, detention and related charges arising from the failure of SEA to take timely delivery of shipments

³ SEA’s Complaint also seeks recovery of charges allegedly imposed on SEA by third parties unrelated to COSCO. SEA’s claims to like recoveries in other cases have been uniformly rejected, *SEA. v. SM Line Corp.*, Dkt. No. 23-01 (Initial Decision, May 28, 2025) (Slip Op.); *SEA. v. ZIM Integrated Shipping Services, Ltd.*, Dkt. No. 22-30, 2025 WL 1255544 (Initial Decision, April 22, 2025), so its apparently bad faith attempt to pursue a similarly meritless claim against COSCO may be considered a third way in which the Samsung entities are seeking to obtain ocean transportation services at less than the applicable rates and charges.

and/or timely return COSCO's empty containers. *See id.* ¶ 68. And SEA knew, or should have known, that a substantial portion of the charges assessed against SEA by COSCO were attributable to SEA's inability to take timely delivery of Samsung's cargo. *See id.* ¶ 69. Yet, SEA flipped the table on COSCO, pretending to be an unwitting victim, demanding an immediate refund of fees totaling an alleged \$26,000,000, based on repeated mischaracterizations of the Service Contracts and other facts and circumstances, and refusing to pay what it knows it owes COSCO. *See id.* ¶¶ 42-48, 50, 52, 73.

After repeated additional demands by SEA based on the Demand Letter, SEA filed a complaint ("Complaint") with the Commission, which was served on COSCO on March 28, 2024. The Complaint was partially dismissed by Order dated April 11, 2025 (administratively final, May 13, 2025). An Amended Complaint was served by SEA on April 25, 2025.

On May 12, 2025, COSCO filed its Verified Answer to the Amended Complaint, as well as the Counterclaim against SEA that is the subject of this Motion. On the same date, COSCO filed its Third-Party Complaint against the other Samsung entities. Both the Counterclaim and the Third-Party Complaint allege that SEA and the Third-Party Respondents acted collectively to obtain transportation services at rates or charges below the applicable rates/charges, in violation of 46 U.S.C. § 41102(a).

ARGUMENT

A. The Commission Has Repeatedly Rejected Heightened Pleading Standards.

SEA's argument is almost entirely predicated on its novel position that claims under 46 U.S.C. § 41102(a) must be pleaded with the same degree of specificity as mandated for fraud cases in federal court. But shockingly, SEA does not cite a single precedent where the Commission adopted such a pleading requirement, even though the FMC has been adjudicating cases of alleged violations of 46 U.S.C. § 41102(a) and its predecessors for almost 90 years. One

would think that, if the Commission wanted such a pleading requirement, it would have said so somewhere in its regulations or many decisions. Quite to the contrary. As SEA well knows, the FMC has repeatedly and steadfastly refused to apply any type of heightened pleading requirement to any cause of action under the Shipping Act.⁴

More importantly, the Commission has *expressly and repeatedly rejected* the application of Federal Rule of Civil Procedure (“FRCP”) 9(b) to claims under **46 U.S.C. § 41102(a)**. Nowhere in SEA’s Motion will the Presiding Officer learn what SEA well knows—that the Commission has already considered, and rejected, proposals to import FRCP 9(b) into the FMC’s pleading requirements for claims under 46 U.S.C. § 41102(a).

In 1993, the Commission proposed to amend its procedural rules to add a requirement, similar to FRCP 9(b), stating that “in all complaints alleging violations of Section 10(a)(1) of the 1984 Act [the immediate predecessor to 46 U.S.C. § 41102(a)] . . . the circumstances constituting such violations must be stated with particularity.” *Miscellaneous Amendments to the Rules of Practice and Procedure*, 26 S.R.R. 1053, 1053 (FMC 1993). After comments, however, the Commission concluded that no such new procedural rule regarding Section 10(a)(1) was warranted and that the liberal general notice pleading requirements of the Commission’s procedural rules should apply equally to all alleged violations of the Shipping Act, including 46 U.S.C. § 41102(a). *Id.* at 1055 (“[W]e are satisfied that a new procedural rule applicable to only to section 10(a)(1) is **not needed** at this time.”) (emphasis added).

⁴ As the ALJ recognized in another proceeding brought by SEA: “SEA is correct that **heightened** specifics are not required See *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007) (‘[We] do not require heightened fact pleading of specifics, but only enough facts to state a claim to relief that is plausible on its face’); *Samsung Electronics America, Inc. v. HMM Co. Ltd.*, Dkt. No. 24-23 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025).” *Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, Dkt. No. 12-02, 2015 WL 9426189 at *12-14 (Dec. 18, 2015).

This decision not to require a heightened pleading standard for complaints raising claims under 46 U.S.C. § 41102(a) was reaffirmed by then-Chief Administrative Law Judge Guthridge and the Commission in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 31 S.R.R. 1369 (ALJ Order on Motions to Dismiss), *aff'd in pertinent part*, 32 S.R.R. 126 (FMC 2011). There, Chief Judge Guthridge flatly rejected the argument that complaints alleging violations of 46 U.S.C. § 41102(a) must be pled with greater than normal particularity or otherwise subjected to heightened pleading requirements, explaining:

Commission Rule 62 sets forth the requirements for a private complainant initiating a complaint proceeding. The Commission's Rules do not include an equivalent to Rule 9(b) that requires a party to state with particularity the circumstances constituting fraud. . . . Neither [of the Respondents] cite to any Commission proceeding in which the pleading standard set out in Rule 9(b) was imposed on a complainant. As noted above, pleadings in administrative proceedings are not considered to be "critically important."

31 S.R.R. at 1384. Chief Judge Guthridge went on to note the rulemaking discussed above and declared: "Where the Commission has determined that an equivalent to a federal rule is not needed (i.e., it is not consistent with the Commission's administrative practice to require stating circumstances of Section 10(a)(1) violations with particularity), I will not hold otherwise." *Id.* The full Commission upheld Chief Judge Guthridge, over the dissent of Commissioner Khouri,⁵ who asserted that FRCP 9(b) should apply. 32 S.R.R. 126 (FMC 2011).⁶

⁵ SEA has elsewhere suggested that Commissioner Khouri's statement about 9(b) was part of his concurrence, rather than his dissent. That is not so. In affirming the Presiding Officer, the majority of the Commission necessarily adopted the Presiding Officer's rejection of heightened pleading standards and Commissioner Khouri was expressing his well-known personal opinion in dissent.

⁶ COSCO does not know why SEA fails to address the Commission's deliberate decision not to apply FRCP 9(b) to FMC proceedings, even though SEA is fully aware of that decision. Perhaps it sees a tactical advantage in leaving its discussion until the reply, where it can address the matter without a rejoinder by COSCO. Such behavior should not be permitted.

Ignoring that controlling precedent, SEA's argument rests exclusively on the unadorned, non-specific language of 46 C.F.R. § 502.12 (incorrectly cited by SEA as 35 C.F.R.), which states: "In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed *to the extent that they are consistent with sound administrative practice.*" 46 C.F.R. § 501.12 (emphasis added). That provision does not apply here because the Commission has expressly determined that FRCP 9(b) is *not* consistent with sound administrative practice. In rejecting importation of FCRP 9(b) into the FMC's procedural rules, the Commission decided that no new procedural rule applicable to 46 U.S.C. § 41102(a) was needed or warranted. Likewise, as quoted above, Chief Administrative Law Guthridge said that the Commission had determined in the above rulemaking that the FMC *does not need* an equivalent of FRCP 9(b) – "i.e., *it is not consistent with the Commission's administrative practice to require stating circumstances of section 10(a)(1) violations with particularity.*" *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 31 S.R.R. 1369 (ALJ Order on Motions to Dismiss), *aff'd in pertinent part*, 32 S.R.R. 126 (FMC 2011).

Given that the Commission has expressly decided in a rulemaking that FRCP 9(b) is inconsistent with sound administrative practice, the only proper path to changing that decision would be a petition for a new rulemaking. It is certainly not the Presiding Officer's province to overrule the Commission.

B. The Counterclaim Meets FMC Pleading Standards.

To make out a violation of 46 U.S.C. § 41102(a), a complainant must show that: (a) a person, (b) knowingly and willfully, (c) by an unjust device or means, (d) obtained or attempted to obtain ocean transportation rates for property at less than the rates or charges that would be otherwise applicable. *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 158 (FMC 2001). COSCO has adequately alleged each of these elements.

1. SEA is a “person.”

The Counterclaim alleges that SEA is “person” within the meaning of 46 U.S.C. 41102(a), and SEA does not suggest otherwise. CC ¶ 9. The term “person” is defined to “include corporations, companies, associations, firms, partnerships, societies, and joint stock companies, as well as individuals.” 1 U.S.C. § 1. In other words, as the Commission has explained, the term “any person,” as used in 46 U.S.C. § 41102(a), is fully as broad as the words “shipper, consignor, consignee, forwarder, broker, or other person.” *See, e.g., U.S. Lines and Gondrand Bros.*, 7 F.M.C. 464, 471 (FMC 1962); *OC Int’l Freight, Inc.*, Dkt. No. 12-01, 2014 WL 5316336 (FMC 2014). The Counterclaim alleges both that SEA “is a corporation, organized and existing under the laws of the State of New York” and that SEA was the “consignee” on the shipments at issue. CC ¶¶ 3, 20, 30.

2. SEA “knowingly and willfully” engaged in proscribed conduct.

A person is deemed to have acted “knowingly and willfully” “if the person had knowledge of the facts of the violation and intentionally violated or acted with reckless disregard, plain indifference, or purposeful, obstinate behavior akin to gross negligence.” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Dkt. No. 96-05, 29 S.R.R. 119, 164-165 (FMC June 1, 2001); *accord OC Int’l Freight, Inc.* Dkt. No. 12-01, 2014 WL 5316336 at *3 (FMC July 31, 2014). Here, the Counterclaim specifically alleges that SEA, along with the Third-Party Respondents, “knowingly and willfully” engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply. CC ¶ 73. Details supporting this allegation may be found throughout the Counterclaim. And as discussed below, SEA knew or should have known that it, not COSCO, was responsible for delays involving SEA’s preferred trucker, which SEA both selected and controlled. Certainly, no more than this is required prior to discovery.

3. SEA conduct constitutes an “unjust device or means.”

COSCO has specifically alleged that SEA, in coordination with its parents, used an unfair device or means to obtain or attempt to obtain rates below those otherwise applicable. CC ¶ 73. Despite SEA’s purported cavils, discussed below, that is sufficient to make out a claim under 46 U.S.C. § 41102(a).

All that a complainant must plead to make a plausible allegation of an unjust or unfair device or means is “*some element* of falsification, *deception*, fraud, or *concealment*.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (emphasis added) (quoting from *Pacific Far East Lines – Alleged Rebates*, 11 F.M.C. 357, 364 (FMC 1968), *aff’d*, 410 F.2d 237 (D.C. Cir. 1969)); *see also, e.g., Rana v. Franklin*, Dkt. No. 19-03, 2020 WL 2538465 at *23 (Initial Decision, May 12, 2020), *aff’d*, 2022 WL 1744905 (FMC May 23, 2022); *Waterman Steamship Corp. v. General Foundries, Inc.*, Dkt. No. 93-15, 1994 WL 279898 at *7 (FMC 1994). Although COSCO believes that its pleadings sufficiently allege deception, and perhaps even fraud sufficient to warrant discovery, it is not necessary to examine those elements, as the Counterclaim plainly alleges concealment. *See, e.g.,* CC ¶¶ 38, 72.

The crux of the deception does not turn on SEA’s filing of the Complaint, as we discuss further below with respect to the issue of attempting (and here getting) rates below those otherwise applicable. Rather, COSCO’s claim of concealment dates to the very signing of the applicable service contract and continues throughout the term of the contract. COSCO offered SEA and Third-Party Respondents rates lower than the otherwise-applicable tariff rates based on two main conditions – that (i) the Samsung entities guarantee a certain minimum cargo volume (including any shipped by SEA) and (ii) the Samsung entities, including SEA, agree, as made crystal clear by the Service Contract and incorporated tariff, that SEA, not COSCO, would be legally responsible for any delay charges involving the trucker chosen and controlled by SEA.

By signing the Service Contract under those conditions, without any objection or reservation of rights, the Samsung entities (including SEA) clearly acquiesced in both the minimum volume commitment and their own liability for delays attributable to their trucker. But neither Samsung nor SEA informed COSCO—then or during the term of the contract—that they disagreed with the assignment of liability to which they had plainly agreed. Had Samsung/SEA told COSCO of this unstated reservation, COSCO would not have entered into the Service Contract – requiring Samsung and SEA to use its transportation services, if at all, only pursuant to much higher tariff rates – or would have entered the contract only at rates higher than those actually granted by COSCO, to compensate for accepting liability that the contract assigned to SEA. The same would have been true during the term of the contract; had Samsung/SEA announced its position, COSCO would have taken countermeasures, including possible termination of the contract, unless SEA agreed to higher rates, or employment of a dispute resolution mechanism.

The Commission has repeatedly found an unjust or unfair device or means where the shipper has induced a carrier to enter into a contract providing lower rates by concealing relevant facts. For example, in *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993), the Commission stated that it would have jurisdiction if the facts alleged “some kind of inducement or deceit” to obtain favorable treatment from a carrier. *See, e.g., Rana v. Franklin*, Dkt. No. 19-03, 2020 WL 2538465 at *3 (Initial Decision, May 12, 2020) (“There is an abundance of evidence in the record that establishes fraud and deceit by the Respondent. In February 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the complainant when they entered into an agreement”), *aff’d*, 2022 WL 1744905 (FMC May 25, 2022); *Tropical Shipping & Construction Co., Ltd. v.*

Valley Wide Produce, Inc., Dkt. No. 93-05, 1993 WL 285897 (FMC) (ALJ Default Judgment, July 20, 1993) (“Tropical claims that it was induced to provide shipment on a collect basis because Valley entered into a credit agreement The Commission has indicated that such conduct by shippers will support claims of violations of section 10(a)(1)).”); *Waterman S.S. Corp v. General Foundries, Inc.*, Dkt. No. 93-15, 1994 WL 279898 at *7 (FMC 1994); *Shipco Transport, Inc. v. Saturn Air Cargo*, 27 S.R.R. 437 (respondent NVOCC induced complainant to extend it credit and release cargo). Although these cases involved inducement to release cargo or carry it without prepayment, there is no logical distinction between that situation and one where a shipper induces a carrier to enter into a service contract at rates the carrier would not have agreed to absent concealment or misrepresentation by the shipper.

4. SEA “obtained or attempted to obtain ocean transportation rates for property at less than the rates or charges that would be otherwise applicable.”

The Counterclaim alleges two (three if you count SEA trying to force COSCO to pay for another person’s unrelated charges to SEA) ways in which SEA and its affiliates obtained rates and/or charges lower than those otherwise applicable. First, as SEA acknowledges, it has refused to pay COSCO over \$4 million in detention charges for which SEA was legally responsible. CC ¶¶ 40, 73, 75. Accordingly, if COSCO is correct that these amounts were properly assessed, SEA has used COSCO’s equipment in connection with SEA’s receipt of cargo at \$4 million lower than the applicable total charges. Second, as discussed above, the Counterclaim asserts that SEA, with the other Samsung entities, engaged in an extended campaign of mischaracterizing and concealing relevant facts to achieve ocean freight rates that they would not have obtained from COSCO had they been forthright and forthcoming. CC ¶¶ 36-38, 72.

C. SEA's Arguments, Based on the Wrong Pleading Standard, Lack Merit.

SEA has put virtually all its eggs in the heightened pleadings basket. Except for one brief section, it presents its argument on the erroneous assumption that FRCP 9(b) applies, despite the Commission's rejection of that position. As SEA's arguments depend on application of heightened pleading requirements, they crash and burn under the Commission's rejection of such heightened standards (as addressed above). We nevertheless respond fulsomely to SEA's many erroneous claims.

1. SEA admitted that it obtained ocean transportation.

SEA claims: "The counterclaim does not plausibly allege any facts that SEA attempted, either successfully or otherwise, to obtain ocean transportation." Mot. at 2-3; *see also id.* at 7-8. On the contrary, SEA clearly obtained ocean transportation services, as cargo sent from Asia was delivered to SEA as the consignee and, upon information and belief and SEA's own pleadings, SEA thereupon took title to the cargo. *See* Am. Compl. ¶¶ 7-10, 17, 19, 41, 71, 76. Thus, by its own allegations in the Amended Complaint, SEA was a "shipper" of the cargo as defined by the Shipping Act both as "the person to whom delivery is made" and as a "cargo owner." 46 U.S.C. § 40102(23).

SEA does not dispute that it was a shipper as defined by the Act because it was "the person to whom delivery is made." Quite to the contrary, it affirmatively alleges that SEA was the "consignee" on the bills of lading. *See* Am. Compl. ¶ 41 ("SEA is the consignee of cargoes of home goods shipped to the U.S. in ocean shipping containers ('SEA Containers') by COSCO"). And SEA likewise admits to ownership of the cargo, acknowledging that it is an owner of the goods delivered to it via COSCO, which SEA then sells to the public. Indeed, SEA repeatedly refers to "SEA goods," "its consumer goods," "its goods," "SEA Containers," and "SEA's property." Am. Compl. ¶¶ 7-10, 17, 19, 41, 71, 76.

SEA also admits that COSCO provided ocean transportation services to SEA:

- “**COSCO transported SEA Containers** under through bills of lading, or sea waybills, from the overseas locations through U.S. ports and on to designated U.S. inland locations.” *Id.* ¶ 42 (emphasis added).
- “COSCO is responsible as the common carrier for both (1) the **ocean carriage of the SEA Containers** to a U.S. port, and (2) the inland carriage **of the SEA Containers** to the U.S. inland locations, generally **SEA** warehouses or directly to SEA customer locations.” *Id.* ¶ 43 (emphasis added).
- “Since January 2020, **COSCO has transported SEA Containers** under ‘store door’ terms to the U.S. from various overseas locations, through numerous U.S. ports (including Seattle and Los Angeles/Long Beach), to numerous inland locations throughout the U.S.” *Id.* ¶ 49 (emphasis added).
- “SEA relied on COSCO for **store door transportation** of goods to the U.S.” *Id.* ¶ 17 (emphasis added).

In sum, SEA admitted both that it obtained ocean transportation services from COSCO and that SEA is an owner of such cargo.⁷

2. SEA’s claims about “nearly identical” proceedings are misleading.

SEA cites two other SEA complaint cases where it alleges that similar counterclaims against SEA were rejected. Mot. at 3 (citing *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited, et al.*, FMC Dkt. No. 24-17 and *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01). SEA is wrong on multiple counts.

Most importantly, despite SEA’s assertion that those cases involved “nearly identical Section 41102(a) claims,” that is not the case. There never was a counterclaim or proposed counterclaim filed in Docket No. 23-01, so SEA’s claim of near identity is specious.⁸

As to Docket No. 24-17, there are striking differences between the Counterclaim here and the one filed by OOCL. Attached as **Exhibit A** is a redline showing the differences between the

⁷ Even if these SEA admissions were not sufficient, COSCO could amend its Counterclaim to add allegations regarding delivery to SEA and SEA’s beneficial ownership of the cargo.

⁸ Further, Docket No. 23-01 concerned the ALJ’s **discretion** not to allow a later counterclaim. That is far different than dismissing a mandatory counterclaim filed as a matter of **right**.

two counterclaims. The differences are manifest and manifold. Some of the significant differences are that COSCO's Counterclaim alleges, as the others did not:

- SEA knew, or should have known, that it was responsible for detention and demurrage charges, unless the delays were COSCO's fault. *See* CC ¶ 36.
- Notwithstanding this knowledge, SEA failed to disclose its disagreement with this assignment of responsibility. *See id.* ¶ 37.
- SEA's concealment of its disagreement with the terms it negotiated induced COSCO to offer rates that it would not otherwise have offered had it known that Counter-Respondent disagreed with the terms of the Service Contracts regarding responsibility for delays involving CNTs or SDDs. *See id.* ¶38.
- SEA engaged in a campaign of deceit to induce and coerce COSCO, while refusing to pay COSCO for lawfully-assessed charges. *See id.* ¶ 40.

Further, SEA does not mention until many pages later, buried in a footnote, in its Motion that Respondents in Docket No. 24-17 have appealed the dismissal to the full Commission, rendering the ALJ's decision "inoperative" in accordance with the FMC's regulations. 46 C.F.R. § 502.277(a)(5). This has caused the entire proceeding in Docket No. 24-17 to come to a standstill for the past two months (and counting).

SEA suggests that the appeal in Docket No. 24-17 did not render the ALJ's Order of Dismissal inoperative. Mot. at 15 n.4. But that is ***directly contrary*** to what SEA told the ALJ in Docket No. 24-17, in which SEA stated: "SEA acknowledges that the filing of OOCL's Exception renders the March 31, 2025 Order Dismissing OOCL's Counterclaim '***inoperative***' under 46 C.F.R. § 502.277(a)(5)."⁹ *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited*, Dkt. No. 24-17; 2025 WL 1255550, at *4 (Complainant's Response to Respondents' Motion to Stay Proceedings, April 23, 2025) (emphasis added). Even if taking positions before different FMC administrative law judges is not sufficient by itself to warrant

⁹ SEA Counsel here has likewise argued that the filing of an appeal renders an order of dismissal inoperative. *See M.E. Dey & Co., Inc. v. Hapag-Lloyd AG*, No. 22-35, 2024 WL 3444027 (Third-Party Respondent's Opposition, July 11, 2024).

application of judicial estoppel, it certainly justifies skepticism of SEA's self-serving argument here.

In any event, SEA's argument is linguistically clever, but ultimately nonsensical. SEA bases its assertion on the proposition that 46 C.F.R. § 502.277(a)(5) refers to initial decisions and not ALJ orders of dismissal. But it is largely a matter of happenstance whether a particular ALJ labels a dismissal as an "Order of Dismissal" or as an "Initial Decision Dismissing" all or part of a complaint. *See, e.g., Logfret, Inc. v. Kirsha*, Dkt. 18-10, 2019 WL 4689188 (Initial Decision Granting Motion to Dismiss, Sept. 17, 2019); *Maher Terminals. LLC. v. PANYNJ*, Dkt. No. 12-02, 2015 WL 435475 (Initial Decision Granting Motion to Dismiss, January 30, 2015); *EDAF Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Dkt. No. 14-04, 2014 WL 6274657 (Initial Decision Dismissing Proceeding, Apr. 15, 2015, Admin. Final); *Webtrans Logistics, Inc. v. Hapag-Lloyd (America) LLC*, Dkt. No. 2013(F), 2024 WL 4491612 (Initial Decision Granting Dismissal, Oct. 8, 2024); *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No.16-12, 2017 WL 343693 (Initial Decision Partially Dismissing Complaint, Jan. 17, 2017).

In other words, SEA's position elevates form over substance. It cannot reasonably be accepted that the Commission intended the effect of an appeal/exceptions to turn on how the ALJ happened to caption the dismissal. Regardless, this issue need not be addressed unless the Presiding Officer grants SEA's Motion.

3. Contrary to SEA's false assertion, COSCO did plead "knowing and willful" acts.

SEA briefly argues that COSCO did not plead knowing and willful conduct on the part of SEA. Mot. at 7. In so doing, SEA breezily cites a number of paragraphs from the Counterclaim. But SEA neglects to mention paragraph 73 of the Counterclaim which, as discussed above, explicitly alleges that SEA engaged in the illegal conduct, together with the Third-Party

Respondents, “*knowingly and willfully*.” That allegation is also supported by, for example, the plain language of the Service Contracts, the execution of which imputes knowledge of its terms, and communications that SEA sent mischaracterizing those contracts and attempting to coerce COSCO to obtain lower rates than the parties otherwise agreed to. *See, e.g.*, CC ¶¶ 22-48.

Of course, those allegations in COSCO’s Counterclaim must be accepted as true. And even if they were insufficient, which SEA does not even argue, COSCO could certainly supplement the factual allegations in its Counterclaim to show knowing and willful conduct by SEA.

4. SEA is wrong in stating that SEA was not bound by the Service Contracts.

SEA next challenges the allegation that it was bound by the Service Contracts and bills of lading. Mot. at 7-8. But that is in direct conflict with paragraph 22 of the Counterclaim (“SEA is bound by the terms of the Service Contract”) and paragraph 23 of the Counterclaim (“Samsung and SEA agreed, as memorialized in paragraph 16 of the Service Contracts, that they would be jointly and severally liable for performance of the terms and conditions of the Service Contract, including the payment of all rates and charges”). As SEA itself has identified, such factual allegations must be presumed true by the Presiding Officer for purposes of the Motion. *See*, SEA Response to COSCO’s Motion to Dismiss at 5 (June 10, 2024) (“all well-pleaded factual allegations in the Complaint are be assumed to be true”). Further, such allegations must be construed in the light most favorable to COSCO. *See id.*¹⁰

¹⁰ *See, e.g., Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620-621 (FMC 2014) (in evaluating a motion to dismiss, the Commission must not only treat the allegations as true, but must also “construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint”) (citations omitted).

In any event, SEA was bound by the Service Contracts because the contracts were expressly signed on behalf of SEA by its owners and the Service Contracts state that they bind SEA as a subsidiary or affiliate. CC ¶¶ 17-19. If SEA wants to argue that the companies of which it is a subsidiary or affiliate had no real or apparent authority to bind SEA, that is a complex factual issue that can only be resolved after discovery, not on a preliminary motion. SEA was also bound by the bills of lading because SEA was listed, with its knowledge and assent, as consignee on the bills of lading, and because SEA has invoked the terms of the bills of lading/sea waybills in its Amended Complaint. *See, e.g.,* Am. Compl. ¶ 34; *Milos Prod. Tanker Corp. v. Valero Mktg. & Supply Co.*, 117 F.4th 1153, 1159 (9th Cir. 2024), *cert. denied*, No. 24-899, 2025 WL 1020382 (Apr. 7, 2025).

5. SEA’s arguments about fraud are based on the wrong pleading standard.

SEA asserts that the allegations of fraud made in the Counterclaim are insufficient. Mot. at 9. That argument, however, assumes a heightened standard of pleading, which was expressly rejected by the Commission in rulemaking and in decisional law, as previously explained.

6. COSCO adequately alleges an unfair device or means.

SEA also distorts the Commission’s holdings on what needs to be alleged as an unfair device or means. As the Commission has explained, there is no requirement under the Shipping Act to allege fraud. Instead, as demonstrated above, all a complainant need allege to make out a plausible claim of an unjust or unfair device or means is “*some element* of falsification, deception, fraud, or *concealment*.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (quoting *Pacific Far East Lines – Alleged Rebates*, 11 F.M.C. 357, 364 (FMC 1968), *aff’d*, 410 F.2d 237 (D.C. Cir. 1969)) (emphasis added). Although the Counterclaim sufficiently alleges deception, and perhaps even fraud, it is not necessary to examine those elements at this stage, as

the Counterclaim plainly alleges concealment. *See, e.g.*, CC ¶ 38 (“Samsung and SEA’s **concealment**” of their position); *id.* ¶ 72 (“SEA achieved freight rates lower than those that would otherwise have been applicable by reason of the unjust and unfair device or means of **concealing** its position”). As shown above, the Commission has repeatedly found an unjust or unfair device or means where the shipper has induced a carrier to enter into a contract providing lower rates by concealing relevant facts.

SEA disputes COSCO’s factual allegations of concealment. Mot. at 11-12. Of course, such factual disputes are improper for a motion to dismiss.

Yet, such assertions are also meritless in substance. SEA first contends that COSCO’s Counterclaim fails to allege that SEA disagreed with the Service Contracts. But that is entirely specious, even under the heightened judicial standards rejected by the FMC. Paragraphs 36, 37, and 38 of the Counterclaim (emphasis added) contradict this false assertion:

36. Samsung and **SEA knew** or should have known from the above provisions, and otherwise, under the Service Contracts and the tariffs incorporated therein, that Samsung and **SEA were responsible for detention and demurrage charges**, unless the delays resulted directly from fault by COSCO.

37. Notwithstanding this knowledge, Samsung and **SEA failed to disclose their disagreement with this assignment of responsibility**.

38. Samsung and **SEA’s concealment of their disagreement with the terms they negotiated** caused COSCO to offer rates that it would not have offered had it known that Samsung and **SEA disagreed** with the terms of the Service Contracts regarding responsibility for delays involving CNTs or SDDs.

Those allegations necessarily incorporate the assertion that SEA recognized the plain terms of the Service Contracts, but failed to state its true position. A party can only conceal or fail to disclose a position if it actually holds that position. Although COSCO sees no basis for requiring it to add a specific allegation that SEA disagreed with the Service Contracts, it could readily do so in an amended Counterclaim, if necessary.

SEA further attempts to distract the Presiding Officer, as a magician or carny con might, by pointing attention to paragraph 42 of the Counterclaim, while ignoring paragraphs 36-38. Paragraph 42 is simply an undisputed matter of fact—also alleged by SEA in its paragraph 60 of its Amended Complaint—that SEA sent COSCO a letter demanding a refund.

7. SEA’s argument about its disagreement over terms and conditions of the Service Contracts is, at most, a factual dispute.

SEA argues that it might not have disagreed with the terms and conditions of the Service Contracts, tariffs, and bills of lading, but instead simply disagreed with some of the *per diem* charges, believing that COSCO was at fault for those delays. *See* Mot. at 10-11. But that is a factual issue, contradicting COSCO’s allegations, that cannot be resolved on a motion to dismiss.

Further, SEA’s revisionist history lacks merit. By its own admission, SEA has never challenged a single specific charge as being unreasonable. Rather, SEA has steadfastly taken the unsuccessful position, as reflected in SEA’s Demand Letter, SEA’s Amended Complaint against COSCO, and SEA’s multiple complaints against other ocean carriers, that ocean carriers, including COSCO, are responsible for all delay charges no matter who was at fault, merely because it was store door delivery. *See, e.g.*, Am. Compl. ¶¶ 47-48. Indeed, SEA has repeatedly declined COSCO’s requests that SEA identify the specific shipments and charges as to which it contends COSCO acted unreasonably. *See* CC ¶¶ 43-46.

The real gravamen of SEA’s cavil about the Counterclaim is that COSCO “provides no specifics indicating its basis for believing SEA disagreed with the terms of the contract.” Mot. at 11. Yet, that ignores alleged facts and circumstances showing that SEA did not intend to abide by the Service Contracts: it knew the plain terms of those contracts but mischaracterized the obligations of the parties and demanded rates to which it was not entitled. *See* CC ¶¶ 36-38, 42-46, 72-73.

Additionally, SEA's objection about the purported lack of "specifics" is not a valid objection. The purpose of a complaint is not to provide detailed statements of fact, but merely to give **notice** to the Respondent about the practices or actions as to which the complaining party objects. Thus, FMC Rule 62(a)(3) states that a complaint need only set forth: "A clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law, and a statement showing that the complainant is entitled to relief." 46 C.F.R. § 502.62(2)(a). And as Chief ALJ Wirth has explained, under both the Federal Rules of Civil Procedure and the FMC Rules, one purpose of notice pleading is "to encourage the use of discovery procedures [rather than motions regarding the complaint] to apprise the parties of the basis for the claims made in the pleadings." *Falcone Global Solutions, LLC v. Maurice Ward Networks, LTD.*, Dkt. No. 18-04, 2018 WL 3655808 at *2 (Order Denying Motion for More Definite Statement, July 27, 2018).¹¹ Like the complaint in *Falcone*, COSCO's Counterclaim: "includes allegations regarding the parties, jurisdiction, statement of facts, violations of the Shipping Act, injury, and a prayer for relief." *Id.* The Counterclaim is therefore sufficient to state a claim.

SEA posits that COSCO's clear allegations of concealment by Samsung and SEA need not be credited because they are contrary to the allegation that SEA stopped paying COSCO detention at some point before the demand letter. Even apart from the fact that the allegations of concealment must be presumed true, there is no logical inconsistency among COSCO's

¹¹ See, e.g., *Hakimoglu v. Trump Taj Mahal Assoc.*, 876 F. Supp. 625, 628-29 (D.N.J. 1994) ("It is not necessary for the plaintiff to plead evidence, and it is not necessary to plead the facts that serve as the basis for the claim."); *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189, at *13 (FMC Dec. 18, 2015) (Complaints are intended only "to give the opposing party **notice of what the case is all about** and to show how, in the **plaintiff's** mind, the dots should be connected.") (emphasis added).

allegations. Nothing in the Counterclaim alleges that SEA informed COSCO or that COSCO was aware of the reason(s) SEA stopped paying. There is thus nothing in COSCO's pleadings to suggest that COSCO learned of SEA's disagreement with the Service Contracts and bills of lading before the demand letter. That again is something SEA may raise after discovery. But even if the cessation of payment did represent when SEA ceased its masquerade, that would at most simply move the date when the concealment ceased; it would not otherwise change the allegations or SEA's violations of the Shipping Act, which began years before SEA ceased to pay. Thus, SEA's failure to pay is simply more evidence of SEA's bad faith and of the fact that it obtained ocean transportation services at a cost lower than the applicable rates and charges.

SEA acts as if these allegations are directed only or mainly at the Third-Party Respondents, not SEA. But as explained above and stated in both the Counterclaim and Third-Party Complaint, COSCO alleges that the four entities worked in concert and collectively took the actions described in both complaints. SEA is of course entitled to dispute the allegations, but for now they must be treated as true, so any SEA challenge must await discovery.¹²

8. SEA attempted to obtain and obtained lower rates and charges.

SEA argues that SEA did not get lower rates. Mot. at 12, 13-14. But as demonstrated above, that assertion is just silly. The Counterclaim specifically alleges that SEA has refused to pay around \$4 million in properly assessed detention charges, and SEA admits that it did not pay

¹² As demonstrated above, COSCO's allegations meet the Commission's longstanding standard for pleading a claim under 46 U.S.C. § 41102(a). And COSCO's allegations should be sufficient even under a heightened standard of pleading such as the one SEA espouses, but the Commission has flatly rejected. Even if COSCO's allegations were deficient in some respect, COSCO would be entitled to amend its Counterclaim, which it could readily do if the Presiding Officer were, for the first time in history, to apply a heightened standard. No such standard could possibly be applied retroactively without giving COSCO a chance to amend its complaint in order to meet the new standard.

them. Accordingly, if COSCO is correct in its position that those charges were proper, it has conclusively alleged that SEA has obtained ocean transportation services (delivery to SEA and use of COSCO equipment) at a total at least \$4 million lower than the applicable charges.

COSCO also alleges that SEA enjoyed lower ocean transportation costs on “SEA goods” than it would have obtained without the deception. As alleged in the Counterclaim, COSCO would never have offered the freight rates Samsung/SEA received had not Samsung *and SEA* engaged in the deception and concealment alleged in the Counterclaim. While it may be difficult to determine the exact amount by which Samsung and SEA benefited through lower freight rates attained by their joint concealment, it is arguably more than \$30 million. *See* CC ¶ 76.

SEA is of course entitled to present evidence and argument contradicting COSCO’s allegations, and COSCO will then present evidence and argument supporting its position. But these are matters for the eventual briefing, not for the Motion to Dismiss, where COSCO’s allegations must be taken as true and all inferences must be made in COSCO’s favor.

The foregoing dispels SEA’s purported distinction of *Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963). There, the D.C. Circuit upheld an FMC cease-and-desist order issued by the Commission, concluding that an entity violated a predecessor of 46 U.S.C. § 41102(a) when it demanded refunds to which it was not entitled. In that case, as here, the shipper paid the charge assessed by the carrier, then demanded a partial refund. In finding an unjust device or means, the court stated:

Hohenberg demanded a rebate on the basis of a claim that it knew or should have known to be false. Such action is similar in nature to “false billing,” “false classification,” etc., and under well known principles of statutory interpretation may properly be considered to fall within the comprehensive final phrase “any other unjust or unfair device or means.”

Id. at 385.

Ignoring inaccuracies in SEA's description of the case, *Hohenberg* is on all fours with the instant matter insofar as relevant. In both cases, the shipper used concealment to achieve a rate lower than was otherwise warranted – there by false classification, here by willingly and knowingly agreeing without objection to a service contract clearly saying one thing about responsibility for detention and demurrage, while secretly believing otherwise and thereby obtaining rates and charges it would not have received had it been honest. And in both cases, the shipper demanded refunds to obtain its improper rate.

SEA baldly asserts that in order to violate 46 U.S.C. § 41102(a), the shipper must intend to deceive either government inspectors or competitors. Mot. at 12-13. *Hohenberg* does not support that assertion. In fact, the court stated the opposite: “Congress was concerned both with ***protection of carriers*** against ***unscrupulous shippers***, [as is the case here,] and of honest shippers against unscrupulous competitors.” *Hohenberg Bros. Co.*, 316 F.2d at 384. As the Commission has repeatedly said, citing *Hohenberg*, the fraud/deception that must be alleged may be either “***to the underlying common carrier or*** to competing shippers.” *OC Int’l Freight, Inc. v. OMJ Int’l Freight, Inc.*, 32 S.R.R. 1992, 1996 (FMC 2013) (citing *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 173 (FMC 2013), which in turn cited *Hohenberg*) (emphasis added). Furthermore, there are scores of cases where the Commission has found a violation of 46 U.S.C. § 41102(a) based on deception of the ocean carrier via misdescription of cargo. See, e.g., *Stallion Cargo, Inc. - Possible Violations of Sections 10(a)(1) & 10(b)(1) of the Shipping Act of 1984*, Dkt. No. 99-18, 2001 WL 35725562 (FMC 2001); *Mobil Oil Corp. v. Barber Blue Sea Line*, Dkt. No. 86-17, 1998 WL340638 at *3 (FMC 1998).

In any event, SEA sought to deceive not only COSCO, but also both the FMC (should it audit COSCO) and SEA's competitors, who may have been paying higher rates because they

honestly stated their position on detention and demurrage to COSCO, rather than hide it as SEA and the Third-Party Respondents did.

SEA argues that legal proceedings cannot be an unfair means or device. Mot. at 14-15. But COSCO alleges that Samsung/SEA violated the Shipping Act *well before* SEA filed its Complaint. And as demonstrated above, the Commission and courts have held that a party's attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or means within the meaning of 46 U.S.C. § 41102(a), as in *Hohenberg*. Thus, as alleged in the Counterclaim, SEA would have violated the Shipping Act even if it did not file a complaint. Accordingly, SEA's argument is at best a red herring.

Even if the Counterclaim did rely on SEA's litigation as the sole basis for its allegation of an unjust or unfair device or means and detention and demurrage as the way SEA was seeking lower rates, which it did not, the Counterclaim would still make out a plausible claim under 46 U.S.C. § 41102(a). Given that the Commission has uniformly rejected SEA's claims of *per se* carrier liability for detention and demurrage in connection with "store door" transportation, it is hardly established that a meritless complaint, and its continuation, cannot be deemed an unfair device or means.

Furthermore, the Commission and courts have held that an unjust or unfair device or means may be found where the shipper interposes non-meritorious arguments in litigation. In *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979), for example, an unjust or unfair device or means was found based, in part, on the shipper's continuous assertion of invalid defenses. And in *Bank Line Limited v. Jet Set Marine, Inc.*, Dkt. No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992), the ALJ recognized that interposition of erroneous defenses might constitute an unfair or unjust device or means but found the evidence

at the summary disposition stage insufficient to render a decision. Although these cases involved non-meritorious defenses, there can be no logical distinction between a non-meritorious defense and a non-meritorious claim of violation. To invert an old saying, what is improper for the goose must be equally improper for the gander.

SEA argues that COSCO does not allege that SEA obtained or attempted to attain ocean transportation. Mot. at 15-16. This assertion is demonstrably false because, as discussed above: COSCO alleges that SEA was the *consignee* for the shipments, which SEA admitted¹³ or the party to whom delivery was to be made, and hence a shipper under the Shipping Act and FMC regulations. 46 U.S.C. § 40102(23); 46 C.F.R. § 530.3(r). SEA has already (i) stated that it had an ownership interest in the cargo, (ii) repeatedly referred to the cargo as “SEA goods,” and (iv) emphasized the importance to SEA of the transportation services that it received from COSCO. *See, e.g.*, Am. Compl. ¶ 10 (“SEA has relied on transportation companies like COSCO to carry its goods to inland destinations throughout the United States.”); ¶11 (“Part of the appeal of working with an experienced transportation company like COSCO is its offering of a full range of services, from arrangements overseas to the final destination at SEA distribution centers and customers inland, otherwise known as inland transportation or ‘store door’ delivery.”); ¶ 17 (“SEA relied on COSCO for store door transportation of goods to the U.S.”).

SEA erroneously argues that its actions are protected by the *Noerr-Pennington* doctrine. *See* Mot. at 16-17. SEA’s argument is predicated on one paragraph of the Counterclaim, in which COSCO merely states that SEA commenced suits against multiple ocean carriers “to recoup the demurrage, detention and other costs ... incurred by SEA,” based on an erroneous conception of the law and incompatible with SEA’s “own fault, acts and omissions or those of its CNTs.” Mot.

¹³ Am. Compl. ¶¶ 41, 47, 62.

at 16-17 (quoting CC ¶ 71). Yet, SEA ignores many other facts, as COSCO previously explained, that provide the foundation for the Counterclaim and predate the filing of SEA's complaints. *See, e.g.,* CC ¶¶ 53-70, 72. Thus, *Noerr-Pennington* does not apply because the Counterclaim is not based on, or is not dependent on, petitioning conduct protected by the doctrine.

Furthermore, SEA's position is directly contrary to its position taken in opposition to COSCO's prior motion to dismiss the complaint, in which COSCO argued that pre-litigation actions related to settlement discussions between the parties could not form the basis for a litigation complaint. SEA argued in its opposition to COSCO's motion to dismiss that the doctrine "does not fit the facts or circumstances ... in which we have a single Complainant and single Respondent." SEA Opp'n to Mot. to Dismiss at 17. SEA also argued that the substance of its claim, predicated on its demand letter and subsequent threats to initiate litigation, including the parties settlement negotiations, did not otherwise implicate *Noerr-Pennington*. *See id.* at 17-18. And the Presiding Officer agreed in the Order on Motion to Dismiss, dated April 11, 2025. *See* Order at 16-17. As a result, SEA should be barred by the doctrine of judicial estoppel from arguing otherwise now. *See New Hampshire v. Maine*, 532 U.S. 742, 749-753 (2001) (explaining and applying judicial estoppel). At a minimum, the Presiding Officer should not reach incompatible results in this case when applying the *Noerr-Pennington* doctrine.¹⁴

¹⁴ SEA does not argue that different results are appropriate due to the different provisions of the Shipping Act at issue in the parties' arguments regarding *Noerr-Pennington*. Nor can SEA make such an argument. The *Noerr-Pennington* doctrine is predicated on the First Amendment of the U.S. Constitution, which supersedes the application of *any* statutory provisions that may be incompatible, as COSCO explained in its motion to dismiss SEA's complaint. *See* COSCO Mot. to Dismiss at 22 (quoting *Theme Promotions v. News America Marketing, FSI, Inc.*, 546 F.3d 991, 1007 (9th Cir. 2008)). In other words, if COSCO's responses to pre-litigation demands and its settlement negotiations in this case are not protected under the doctrine, SEA's conduct arising from the same operative facts also cannot be protected by the doctrine.

D. COSCO is Entitled, if Necessary, to Amend its Counterclaim.

Even if the allegations of the Counterclaim were somehow found deficient, it would be necessary for the Presiding Officer to allow COSCO an opportunity to amend its Counterclaim, just as SEA was allowed to amend its defective Complaint. As the Commission has explained:

Although the ALJ may in [their] discretion dismiss a [pleading] without leave to amend, the Commission typically allows liberally. . . . This approach is similar to that taken by federal courts, which usually allow leave to replead after granting a motion to dismiss. . . . Generally, where a more carefully drafted complaint might state a claim, a plaintiff must be provided with at least one opportunity to amend before the court dismissed with prejudice.... The standards for dismissing a complaint with prejudice is high.

Maier Terminals, LLC v. PANYNJ, No. 1202, 2015 WL 9426189 at *39 (FMC 2015) (citations and internal quotation marks omitted). In *Maier*, the Commission upheld the dismissal with prejudice of some claims, while reversing the dismissal of others, saying.

The ALJ's conclusion that amendment would be futile, however, is unsupported. The ALJ did not explain why it would be futile for Maier to amend its complaint nor find that the allegation of other facts consistent with the challenged proceeding could not possibly cure the deficiency. There is no reason to believe that, if granted leave to amend, Maier could not cure some of the complaint's deficiencies. *Id.* at *40 (citation and internal quotation marks omitted).

Here, COSCO could easily cure or supplement any deficiency that the Presiding Officer might identify, although COSCO reasonably believes there are none. If the Presiding Officer concludes that some of the allegations are not sufficiently clear or complete, she should allow Counterclaimant the opportunity to amend.¹⁵

¹⁵ The Commission's Administrative Law Judges have liberally allowed leave to amend pleadings. *See, e.g., D.F. Young, Inc. v. Wallenius Wilhelmsen Logistics*, Dkt. No. 23-14, 2024 WL 40246 (ALJ Order Granting Leave to Amend Complaint, January 23, 2024); *CCMA LLC v. Maersk A/S*, Dkt. No. 22-01, 2022 WL 458571 (ALJ Order Granting Motion to Amend Complaint, February 7, 2022); *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 21-05, 2022 WL 458569 (ALJ Order on Motion to Amend Complaint, February 4, 2022); *Simple Forwarding, Inc. v. China United Lines Ltd. and Norton Lilly Int'l*, Dkt. No. 2010(F) (ALJ Order granting claimant's motion for leave to amend complaint, October 4, 2024); *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Dkt. No. 24-10 (Order Granting Motion for

CONCLUSION

For the foregoing reasons, the Counterclaim should not be dismissed.

Leave to File an Amended Complaint, October 4, 2024); *Kanu v. Ejike Dickson Eze, et. al*, Dkt. No. 25-05 (Order Requiring Complainant to File Motion for Leave to Amend and Proposed Amended Complaint, May 28, 2025).

Dated: June 23, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 23rd day of June, 2025, a true and correct copy of the foregoing document, **Counter-Complainant's Opposition to Counter-Respondent's Motion to Dismiss the Counterclaim**, was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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EXHIBIT A

Comparison

Counterclaim - Docket No. 24-16, COSCO Shipping Lines Co., Ltd. v. Samsung Electronics America, Inc.
(underline)

Counterclaim - Docket No. 24-17, Orient Overseas Container Line, Ltd. v. Samsung Electronics America, Inc.
(strikethrough)

By this Answer and pursuant to the Commission's Rules at 46 U.S.C. § 502.62(b)(4), ~~Respondents allege~~Respondent alleges the following ~~Counterclaims~~Counterclaim against Complainant Samsung Electronics America, Inc. ("SEA") and states as follows:

~~I. ———~~ FACTUAL ALLEGATIONS

~~A. Service Contracts with Samsung and SEA~~

I. PARTIES

1. Counter-Complainant COSCO is a corporation organized and existing under the laws of the People's Republic of China, with its corporate office at No. 378, Dong Da Ming Road, Shanghai, China. It is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. § 40102(7) and (18).

2. Counter-Respondent Samsung Electronics America, Inc. ("Counter-Respondent" or "SEA"), a corporation organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118, is a wholly owned subsidiary of Samsung Electronics.

4.3. Upon information and belief, SEA is a wholly owned subsidiary of Samsung Electronics Company, Ltd. ("Samsung") is Electronics" or "SEC"), a corporation engaged in the global electronics business that is organized and existing under the laws of Souththe Republic of Korea, with its principal place of business located at 120, Samsung129, Samscong-ro, Yeongtong-gu, Suwon, Kyonggi- si, Gyeonggi-do, South (Maetan-dong) Seoul, 16677, Republic of Korea.

4. Upon information and belief, Samsung Electronics Logitech Company Limited ("Samsung Logitech"), a wholly owned subsidiary of SEC, is a corporation organized and existing under the laws of the Republic of Korea, with its principal place of business located at

401 Shin-dong, Youngtong-gu, Suwon, Kyonggi-do, Republic of Korea.

5. Upon information and belief, Samsung SDS Global SCL Asia Pacific PTE LTD (“Samsung SDSAP”), a wholly owned subsidiary of SEC, is a corporation organized and existing under the laws of the Republic of Singapore, with its principal place of business located at #07-32 Mapletree Business City, 30 Pasir Panjang Road, Singapore 117440, Singapore.

6. Samsung Electronics, Samsung Logitech, and Samsung SDSAP are collectively referred to herein as “Samsung.”

7. Upon information and belief, Samsung Electronics controls Samsung Logitech, Samsung SDSAP, and SEA.

II. JURISDICTION

8. The FMC has jurisdiction over this proceeding pursuant to the Shipping Act, including 46 U.S.C. § 41301; and 46 U.S.C. § 41102(a).

9. Complainant/Counter-Respondent is a “person” as that term is used in 46 U.S.C. § 41102(a), which provides the FMC with both subject matter jurisdiction and personal jurisdiction over Complainant/Counter-Respondent.

III. FACTUAL ALLEGATIONS

2-10. In 2021 and 2022, Samsung invited ~~OOCL~~COSCO and other ocean common carriers to submit proposals for the transport of Samsung's cargoes and transmitted documents to ~~OOCL~~COSCO entitled “2021 RFQ for Ocean Freight” and “2022 RFQ for Ocean Freight” (collectively, the “Samsung RFQs”), which described the terms and conditions ~~which~~ ~~OOCL~~that COSCO was required to meet in the event Samsung accepted ~~OOCL's~~COSCO's proposals.

11. ~~Both of the~~The Samsung RFQs requested bids for the carriage of Samsung's

cargo from foreign locations to be delivered: (i) at North American ports (“Container Yard” or “CY” delivery terms) and also (ii) to certain inland locations in the United States designated by Samsung or SEA (“store door” or “SDD” delivery terms).

12. For SDD movements, Samsung’s RFQs required bidders, including COSCO, to propose rates using drayage truckers nominated by Samsung or SEA for trucking loaded containers to SEA’s warehouse.

3.13. Each Samsung RFQ provided underin paragraph 6, captioned “Customer Service”, as follows:

“Preferred Trucker & Delivery

- Carriers are required to provide local delivery service with consignee’s preferred trucker if any. (CNT = Customer Nominated Trucker”)

14. COSCO’s bids in response to each of the RFQs included rates and terms for both CY and SDD deliveries, as required by the Samsung RFQs.

4.15. Following Samsung’s acceptance of bids submitted by ~~OOCL~~COSCO in response to the ~~Samsung RFQs~~, Samsung 2021 RFQs, SEC’s subsidiary, Samsung Logitech, executed theCOSCO Service Contracts Number GKU21005 and GKU21006, which were filed with the Federal Maritime Commission.

16. Paragraph 2 of the Following Samsung’s acceptance of bids submitted by COSCO in response to the Samsung 2022 RFQs, SEC’s subsidiary Samsung SDSAP executed Service Contract Numbers GKU22005 and GKU22006, which were filed with the Federal Maritime Commission.

5.17. Service Contract Numbers GKU21005, GKU21006, GKU22005 and GKU22006 (hereinafter the “Service Contracts, captioned “SHIPPER AND AFFILIATES CLAUSES”, states that”) each state that the Service Contracts shall be binding Contract is made between the

Carrier (~~OOCL~~COSCO) and the Shipper (Samsung), Logitech or Samsung SDSAP and ~~the~~all Affiliates of the Shipper ~~that are~~ listed in Appendix B of the Service ~~Contracts~~Contract.

~~6.18.~~ Appendix B to each of the Service Contracts lists SEA, the Complainant, SEA, /Counter- Respondent in this proceeding, as an Affiliate of Samsung, in addition to other entities Logitech and Samsung SDSAP.

~~7.19.~~ Pursuant to Paragraph 2 of the Service Contracts, Samsung Logitech and Samsung SDSAP respectively represented and warranted that each of the Affiliates listed in the executed Appendix B of the Service Contract was an entity- controlled by Samsung Logitech or Samsung SDSAP, and that the person executing the Service ~~Contracts~~Contract had the authority to enter into the Service ~~Contracts~~Contract on behalf of ~~Samsung and~~ the Affiliates listed in Appendix B.

~~8.20.~~ Pursuant to the Service Contracts, Samsung Logitech and Samsung SDSAP instructed ~~OOCL~~COSCO to issue non- negotiable bills of lading or seaway bills sea waybills showing SEA as consignee for shipments subject to the Service Contracts.

~~9.~~ SEA was one of Samsung's named Affiliates that Samsung instructed ~~OOCL~~ to reflect as consignee on the bills of lading ~~OOCL~~ issued to Samsung.

~~10.~~ Pursuant to service under the Service Contracts, Samsung instructed ~~OOCL~~COSCO to issue invoices to SEA for charges incurred in the United States.

~~11.~~ Pursuant to the representation and warranties made by Samsung in the Service Contracts, the Complainant, SEA, is an entity that is controlled by Samsung.

~~21.~~ Pursuant to the representation and warranties made by Samsung in pursuant to the Service Contracts,

~~12.22.~~ SEA is bound by the terms ~~and conditions~~ of the Service Contracts. Further, pursuant to Paragraph-

~~13.23.~~ Samsung and SEA agreed, as memorialized in paragraph 16 of the Service

Contracts, ~~Samsung and SEA agreed~~ that they ~~shall~~would be jointly and severally liable for performance of the terms and conditions of the Service ~~Contracts~~Contract, including the payment of all rates and charges.

24. Pursuant to Paragraph 13 of each of the Service Contracts, states that all rates shall be deemed to be for CY delivery, unless otherwise specified in the contract.

25. The Service Contracts each specified (in Notes S1, S1A, S1x)) that the rates listed therein, including Store Door rates, "...are not inclusive of ...all other surcharges, including those, if any, specified in the contract and those published in the Governing Tariff(s) at the time of shipment."

26. Paragraph 103 of each of the Service Contracts signed by Samsung agreed provided that, unless otherwise provided in the contract, transportation provided would be subject to all applicable rules, regulations, rates, and charges set forth in COSCO's tariff(s) of general applicability including amendments and reissues thereto.

14.27. SEA was bound by Samsung's agreement that all cargoes moving under the Service Contracts shall be~~were~~ subject to ~~the tariffs listed in Appendix A~~COSCO's tariff of each Service Contract~~general applicability.~~

~~Pursuant to the representation~~

28. COSCO's published Tariff Rule 201-002-064 contained specific rules for store door moves and warranties made by Samsung in~~for the use of customer-nominated truckers.~~

29. Each of the Service Contracts, provided that Samsung and SEA would be responsible for the Complainant~~payment of all per diem (detention) charges incurred in the United States.~~

30. At Samsung's instruction, SEA appeared as an Affiliate of consignee on sea waybills issued under the Service Contracts.

31. The Service Contracts instructed COSCO on how to issue invoices to Samsung, had/SEA for detention (per diem) charges incurred in the United States.

15-32. Samsung and SEA also agreed that all cargoes moving under the Service Contracts shall be subject to the tariffs listed as incorporated in Appendix A of each of the Service Contracts.

33. Appendix A Paragraph 112 of the each Service Contracts incorporated states:

16. Subject to the terms of this Customer Nominated Trucker provision, Carrier will endeavor to use Merchant's CNT. In the event Merchant's CNT is unable or unwilling (as the foregoing are determined by reference Tariff Rule OOLL-100 Carrier in its sole discretion) to complete the transportation as requested by Carrier, the carrier shall have no obligation to substitute one of its house truckers. However, Merchant may request that the carrier substitute a house trucker and if the carrier agrees to use alternative transportation, Merchant agrees to pay all additional costs associated with the alternative transportation, to include but not be limited to increased truck costs, equipment costs, demurrage, detention, rail costs, and other costs that may arise from or relate to the alternative transportation.

Customer Nominated Trucker rates shall be agreed prior to the effective date of this Contract and shall not be subject to change during the period of the Contract; should the Merchant choose to nominate a new or alternate Preferred Trucker during the period of this Contract, the Merchant shall be responsible for and guarantee payment of any increase in compensation rate.

1. Destination Door:	Trucker Name:
2. Destination Door:	Trucker Name:
3. Destination Door:	Trucker Name:
4. Destination Door:	Trucker Name:
5. Destination Door:	Trucker Name:

34. COSCO's CNT Application Form states,

The contract of carriage for inland transportation shall be deemed to be between the trucker and shipper, or owner of the cargo (dispatching, tracing, operations, etc).

The CNT will be employed by the Shipper or the owner of the cargo, NOT CARRIER.

Cosco will make payment directly to CNT for drayage service only unless otherwise specified.

All pick-up #'s must be requested before LFD as COSCO is NOT responsible for storage under CNT Agreement.

17-35. COSCO Tariff Rule OOLL-100 Rule Number: T-26201-002-064, Store Door

Delivery/Pick Up Service, published ~~on January 2, 2020 and effective on February 1,~~
~~2020~~March 5, 2018, and effective on April 3, 2018, and throughout the period covered by the
SEA Complaint, states the following with respect to Customer Nominated Truckers ("CNT"):

~~"...when~~When a customer nominated trucker (CNT) is used at the request of Shipper (or any other interest to the cargo) for store door delivery to a cargo receiver then, notwithstanding anything to the contrary in the bill of lading issued for inbound shipment (or door pick up for outbound~~that~~ shipment) at the request of Shipper (or any other entity with an interest in the cargo), it is hereby agreed that, the following terms and conditions shall apply:

♦1. Carrier will act as agent of Shipper for purposes of arranging the trucking, and the contract of carriage for inland ~~door delivery~~ transportation shall be deemed to be between the trucker and Shipper or the owner of the cargo. The CNT will be employed by the Shipper or the owner of the cargo, not Carrier, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.²²

B. SEA's Claim for Reimbursement of Demurrage, Detention & Other Charges

2. For purposes of U.S. COGSA and/or applicable law governing carriage of goods by Carrier, delivery to the Shipper will occur when the cargo is interchanged to the CNT.

3. Carrier's liability for loss of or damage to the cargo, or for loss or damage caused by the cargo, shall cease when the cargo is interchanged to the CNT.

4. If any party asserts a claim or cause of action against Carrier for loss or damage occurring after the cargo is interchanged to the CNT, the Shipper or the owner of the cargo will defend and indemnify Carrier against any and all such claims or causes of action.

5. Carrier can refuse to use a customer nominated trucker at any time if there are rate(s) or service discrepancies.

6. Shipper shall be responsible for all additional costs and charges incurred by Shipper's election to use a CNT. These additional costs consisting of, but not

limited to detention, drop fee, equipment usage, and per diem charges are to be invoiced directly to the Shipper.

7. Consistent with Carrier's proof of delivery requirements, the Shipper's CNT is required to keep hardcopy documentation showing proof of deliveries on hand for a period of two (2) years.

8. Rates will be valid for the term of the contract as provided. Notice for termination of the Agreement at the Shipper's or CNT's request must be provided to the Carrier at least thirty (30) days in advance.

36. Samsung and SEA knew or should have known from the above provisions, and otherwise, under the Service Contracts and the tariffs incorporated therein, that Samsung and SEA were responsible for detention and demurrage charges, unless the delays resulted directly from fault by COSCO.

37. Notwithstanding this knowledge, Samsung and SEA failed to disclose their disagreement with this assignment of responsibility.

38. Samsung and SEA's concealment of their disagreement with the terms they negotiated caused COSCO to offer rates that it would not have offered had it known that Samsung and SEA disagreed with the terms of the Service Contracts regarding responsibility for delays involving CNTs or SDDs.

39. COSCO routinely sent SEA (and through SEA, Samsung) Open Per Diem Invoice Statements, Statements of Account, and other communications listing outstanding charges accrued in the United States.

40. Samsung and SEA have nevertheless refused to pay COSCO for some of those lawfully assessed charges.

41. Samsung was fully aware and could have challenged the accuracy of those charges at any time, including before the invoice was sent to SEA, but it did not.

~~18.42.~~ On ~~October 7~~September 23, 2022, SEA ~~transmitted~~sent a letter to ~~OOCL (USA) Inc., we assume as COSCO (via COSCO's U.S. agent for OOCL,)~~ captioned "NOTICE OF DEMAND FOR ACTION" ("Demand"), in which it asserted, inter alia, that it had been "coerced" to pay numerous invoices assessing "demurrage, detention, handling and/or storage fees" ("Fees") since 2020 in the amount of USD \$~~11 million~~26,000,000.00 "based on available data...as of Q1 2022" and demanded an immediate refund of these Fees, plus all Fees it pays in the future, on the grounds that the shipments moved under "store-door" terms and that "~~OOCL~~COSCO was responsible for obtaining all necessary resources therefor under the store-door terms."

~~19.43.~~ SEA's ~~October 7~~September 23, 2022 Demand did not identify the bill of lading numbers, container numbers, booking numbers, or individual charges related to the corresponding bills of lading ~~and/or sea waybills or~~ containers; did not produce any documents, communications or information explaining why the charges were incorrect and should be refunded, waived or reduced; and, instead, claimed that all the charges comprising the \$~~11 million~~26,000,000 claim were improper simply because ~~SEA's shipments moved~~the sea waybills indicated delivery was to be made on a "store-door" basis.

44. In response to SEA's September 23, 2022, Demand, COSCO requested SEA provide details of which shipments, bills of lading, or charges SEA disputed.

45. In an email dated September 26, 2022, SEA's Mr. Rapske stated that it was SEA's position that SEA need not provide the details COSCO requested because SEA's fundamental position was that it was not responsible under a store door sea waybill for any charges resulting in delays in final delivery to SEA's warehouse.

46. In an email communication October 2022, SEA's Mr. Rapske again refused to provide COSCO details on which shipments or charges it was disputing, stating, "[W]e

explained that it was unreasonable under the Shipping Act of 1984, 46 U.S.C. § 40101, for COSCO to charge Samsung demurrage and detention under store door moves, and that the general magnitude of such claims underscores the unreasonableness of COSCO's conduct."

47. COSCO's North American agent and SEA met in person on November 16, 2022, to discuss SEA's claims.

48. Following the November 16, 2022, meeting, SEA's Mr. Rapske wrote COSCO's North American agent saying it was grateful for the meeting but that "recent NY Times coverage of litigation against the ocean carriers before the FMC has led to even higher internal pressure on us to take action against ocean carriers."

20.49. The Federal Maritime Commission reviewed OOCL's and informally approved of COSCO's demurrage and detention dispute process (which was in place at all relevant times) pursuant to its VOCC Audit Program, and the FMC informed OOCL that the process met the Commission's "best practices."

21. Prior to issuance of the October 7, 2022 Demand, SEA had not contested the individual charges comprising the \$11 million claim set forth in the Demand through OOCL's demurrage and detention dispute process which was available on OOCL's website, although one of its Samsung affiliates did send an informal inquiry by letter dated September 6, 2022.

22. OOCL, through OOCL (USA) Inc., responded to SEA's Demand noting that, based upon the sparse information about the claim that SEA had provided, the charges for

~~demurrage had been incurred because shipments had been left at the terminal past the expiration of free time while awaiting pickup by SEA's CNT (customer nominated trucker); that OOCL had issued multiple and timely notifications to SEA regarding the date of arrival, last free day and accrued demurrage charges for SEA's shipments; that OOCL had issued "long dwelling letters" to SEA seeking to obtain its instructions with respect to these containers; and that SEA had not substantively responded to these communications.~~

23. — ~~As to the Demand's claim for reimbursement of detention charges, which were incurred due to SEA's failure to return empty containers prior to the expiration of free time, OOCL (USA) Inc. noted that it had not received any notices, documents or other information from SEA which described extenuating circumstances that impacted SEA's ability to timely return OOCL's containers, such as unavailability of appointments, return facility closures or other matters outside the control of SEA that would warrant mitigation of the detention charges that were assessed.~~

24. — ~~Despite SEA's failure to challenge invoices in a timely manner through OOCL's dispute resolution process, OOCL (USA) Inc. advised SEA that OOCL would nevertheless review any documentation or information SEA provided which would "cast light on any conditions that prevailed at the time these charges were incurred...and reach a mutually satisfactory conclusion."~~

25. — ~~Other than a one page PDF which summarized its claims that was attached to the Demand dated October 7, 2022, none of the documents or information requested by OOCL (USA) Inc. to enable it to identify the shipments which comprised SEA's claim or further evaluate the circumstances which gave rise to the individual demurrage and detention charges that were assessed, has been provided by SEA.~~

50. Following further exchanges of letters between SEA and ~~OOCL/OOCL~~ ~~(USA) Inc.~~ COSCO's North American agent CSLNA and their respective counsel, ~~and a~~ ~~meeting between the parties at SEA's~~ two days of in person settlement discussions were held on September 28 and 29, 2023 at the New York City offices ~~in New Jersey, the~~ of SEA's attorneys.

~~26-51.~~ Although the aforementioned discussions did not result in a settlement agreement, SEA and CSLNA continued to have further settlement communications until the original Complaint which is the subject of this proceeding was ~~filed by SEA~~ served on March 28, 2024.

52. ~~VIOLATION~~ To date, neither SEA nor any other Samsung entity has paid COSCO or its agent the charges that remain outstanding.

H.IV. VIOLATIONS OF THE SHIPPING ACT BY SEA

VIOLATION COUNT I: VIOLATIONS OF 46 U.S.C. § 41102(a)

53. Counter-Complainant COSCO repeats and realleges the foregoing allegations.

~~27-54.~~ Section ~~41102~~ 10(a)(1) of the Shipping Act, ~~of 1984 as amended and in force~~ during the relevant period, codified at 46 U.S.C. § 41102(a), prohibits ~~any~~ person from “knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.”

~~28-55.~~ During Samsung's negotiation of the Service Contracts with ~~OOCL~~ COSCO, Samsung required that ~~all~~ trucking of cargo transported by ~~OOCL~~ COSCO under the Service Contracts from the port of entry to the final destination be performed by customer-nominated

truckers (“CNTs”), as selected and designated by SEA.

29.56. Pursuant to the terms and conditions of COSCO Tariff Rule ~~OOLL-100 Rule Number: T-26, OOCL201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018, COSCO~~ acted as an agent for Samsung for purposes of arranging the trucking of containerized shipments transported by ~~OOCL~~COSCO by ocean under the Service Contracts.

30.57. Pursuant to the terms and conditions of Tariff Rule ~~OOLL-100 Rule Number: T-26201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018 and in effect during the relevant period,~~ the contract of carriage for inland door delivery of shipments transported by ~~OOCL~~COSCO under the Service Contracts was deemed to be between the Samsung ~~Customer Nominated Trucker~~CNT and SEA as the owner of the cargo.

31.—Pursuant to the terms and conditions of Tariff Rule ~~OOLL-100 Rule Number: T-26201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018 and effective on April 3, 2018,~~ the CNTs were employed by SEA as the owner of the cargo, and not by ~~OOCL~~COSCO, and ~~OOCL's~~

58. COSCO's sole responsibility was the payment to the CNT of freight charges that were included in the rates which it had negotiated with Samsung for its store door delivery service under the Service Contracts.

32.59. Pursuant to the terms and conditions of Tariff Rule ~~OOLL-100 Rule Number: T-26, OOCL201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018, COSCO~~ paid the CNTs designated by SEA only as agent for the Shipper, Samsung.

33.60. Except for its obligation to pay CNTs the freight charges agreed upon by

~~OOCL~~COSCO for the inland delivery of containerized shipments transported under the Service Contracts, ~~OOCL~~COSCO was not responsible, unless COSCO itself was at fault, for the failure to perform by the CNTs; nor was ~~OOCL~~COSCO responsible for failures to perform by SEA, ~~as Samsung's Affiliate or Samsung~~, including but not limited to acts or omissions by SEA ~~which, Samsung, or a CNT that~~ resulted in ~~SEA's incurring of~~ detention, demurrage ~~and/or~~ storage charges at ocean terminals, rail terminals, or other facilities.

61. ~~Charges assessed to~~ The sea waybills issued by COSCO showing SEA as consignee included provisions making SEA responsible for the return of empty containers and liable for any detention, demurrage-, loss, or expense arising from non-return of COSCO's equipment.

62. The sea waybills issued by COSCO showing SEA as consignee included provisions making SEA responsible for taking timely delivery of the goods and, if SEA refused to take timely delivery, that it be liable for any loss, damage, expense, or liability incurred by COSCO arising from such a refusal.

34-63. ~~Charges assessed by COSCO to SEA for demurrage at marine terminals were incurred because Samsung's shipments to SEA were left at marine terminals past the expiration of free time while awaiting pickup by the CNTs designated by SEA~~ selected and employed by SEA/Samsung failed to timely pick up cargo at the terminals during free time.

64. ~~SEA ignored~~ The large majority of the charges (by dollar amount) for which SEA purports to seek reparations were assessed by third parties to SEA due to delays by SEA/its CNTs in removing Samsung's cargo from third party container yards. COSCO played no part in those charges.

35-65. SEA failed to act on the multiple and timely notifications sent by ~~OOCL~~COSCO to SEA regarding the date of arrival, last free day, and accrued demurrage charges for

SEA's Samsung's shipments.

~~36.66. SEA was slow to respond to the numerous "long-dwelling letters" OOCL sent to SEA~~ COSCO's practice was to send SEA (and other consignees/truckers) "hastening notices" seeking to obtain its instructions with respect to containers which, after going into demurrage, continued to remain at the terminals.

~~37.67. Charges~~ The charges invoiced by COSCO to SEA for detention/per diem were incurred due to the failure of SEA ~~or its designated CNTs~~ to timely return ~~OOCL's~~ COSCO's empty containers prior to the expiration of free time and not due to any act or omission on the part of ~~OOCL~~ COSCO.

~~38.68. The Service Contracts provided for the assessment of demurrage, detention and related charges arising from the failure of SEA to timely take delivery of Samsung's shipments and/or to timely return COSCO's empty containers within the extended free time periods that had been negotiated between the SEC/the Contract Signatories and COSCO.~~
~~and/or to timely return OOCL's empty containers within the extended free time periods which had been negotiated between Samsung and OOCL.~~

~~39.69. Upon information and belief, a substantial portion of the demurrage and detention charges assessed against SEA by OOCL-COSCO were attributable to the failure of SEA's designated CNTs in ability to perform in a take timely manner. Under the terms of OOCL's tariff, such failure is the responsibility of SEA, not OOCL delivery of Samsung's cargo.~~

~~40.70. Upon information and belief, a portion of the demurrage and detention charges assessed against SEA by OOCL-COSCO were attributable to SEA's mismanagement of its supply chain including SEA's failure to provide adequate warehouse facilities for the timely receipt and unloading of cargo.~~

~~41.71. In this proceeding, and in other proceedings before the Federal Maritime~~

Commission, commenced by SEA against other ocean carriers, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA, from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions or those of its CNTs.

72. In SEA achieved freight rates lower than those that would otherwise have been applicable by reason of the unjust and unfair device or means of concealing its position regarding the provisions of the Service Contracts that explicitly make Samsung/SEA responsible for detention and demurrage charges resulting from SEA/its CNTs' delays until after the Service Contracts expired and Samsung and SEA had gained the benefits of its deceit, then demanding repayment of charges it had agreed to pay in the first place.

42.73. SEA has also sought and continues seeking lower rates or charges by demanding refunds of charges imposed on SEA pursuant to the terms of the Service Contracts, by refusing to pay lawful charges for its own failure to make timely pickup of cargo and timely return of COSCO equipment, and in demanding that OOCL COSCO waive future lawful charges, and in bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has. SEA, together with Samsung, has thus knowingly and willfully engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

III.V. CAUSATION AND INJURY TO ~~RESPONDENTS / RESPONDENT / COUNTER-~~COMPLAINANTS

74. COSCO repeats and realleges each of the allegations set forth above.

75. As a result of SEA's violation of 46 U.S.C. § 41102(a), ~~OOCL~~COSCO has been exposed to suffered actual damages and legal of over \$4,000,000, plus interest and costs as, for unpaid, lawful detention charges that SEA has refused to pay and still refuses to pay COSCO.

43.76. As a result of the proceeding filed against OOCL, and SEA is liable to OOCL for all SEA's violation of 46 U.S.C. § 41102(a), COSCO has suffered additional actual damages, including legal in the approximate amount of \$32,000,000, plus interest and costs, that OOCL may incur relating to SEA's failure to pay otherwise applicable rates.

VI. REQUEST FOR ORAL HEARING

Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573-0001.

IV.VII. PRAYER FOR RELIEF

WHEREFORE, the ~~Respondents / Counterclaimants, Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd., Respondent/Counter-claimant COSCO~~ respectfully ~~request requests~~ that:

- 1) The Judgment be entered for Respondent/Counter-claimant and that the Amended Complaint against the Respondents be be dismissed, with prejudice.
- 2) The Complainant, Counter-Respondent SEA, be required to answer the charges in this Counterclaim, and that after the Commission's investigation and hearing, that the Commission shall issue an order directing that the Complainant, SEA, to cease and desist from violating 46 U.S.C. § 41102-(a) of the Shipping Act, specifically from engaging in the unjust or unfair device or means it has employed to obtain or attempt to obtain ocean transportation for

property at less than the rates or charges that would otherwise apply;

3) SEA be required to pay ~~for~~ all damages, plus interest, incurred by ~~OOCL~~ COSCO as a result of the ~~Complaint, including its attorneys' fees~~ violations of the Shipping Act and ~~costs pursuant to 46 U.S.C. § 41305~~ Federal Maritime Commission regulations as set forth in this Counterclaim; and,

4) ~~OOCL~~ Respondent/Counter-claimant COSCO be ~~provided~~ granted such other and further relief, including reasonable attorneys' fees, that the FMC deems just and proper.

DATED: May 12 ~~December, 2024,~~ 2025